

founded information theory with one landmark paper published in 1948. But he is also credited with founding both digital computer and digital circuit design theory in 1937, when, as a 21-year-old master's student at MIT, he wrote a thesis demonstrating that electrical application of Boolean algebra could construct and resolve any logical, numerical relationship. It has been claimed that this was the most important master's thesis of all time. Shannon contributed to the field of cryptanalysis during World War II and afterwards, including basic work on code breaking.

⁸An equivalent level of simplicity means using only a single nonzero integer size for point-count values (e.g., -1, 0, +1). There are other systems that have a greater variety of values that may provide modest improvements in either strategy or bet sizing.

⁹In a static hedge, the warrant position is counterbalanced by an equal delta opposite position in the stock at time of trade implementation, resulting in a delta neutral combined position. (*Delta neutral* means that the value of the combined position will remain approximately unchanged for small changes in price.) In a dynamic delta hedge, the offsetting stock position is continually adjusted to maintain an approximately delta neutral total position.

¹⁰ *Delta neutral hedging* means that purchases and sales of the underlying stock are used to keep the combined position balanced so that it is approximately unaffected by small price changes in either direction.

¹¹ <http://edwardothorp.com/id9.html>.

¹²If this question is intelligible, no explanation is necessary; if it isn't, any adequate explanation would be far too lengthy and tangential.

¹³Bruce Kovner is the founder of Caxton Associates, a highly successful global macro fund, and was profiled in my book *Market Wizards* (New York: Institute of Finance, 1989).